

The bank posted all round performance; PAT came in at INR 3.4 bn up by 23% yoy aided by strong asset growth, stable spreads and better asset quality profile. Share of CASA deposits has improved from 30% to 42% yoy. Margins were maintained at 6% levels given stable yields (13.3%) and funding cost (5.8%). In % terms, GNPL came down from 2.3% to 2.2% qoq while the PCR stood at 71% levels.

Valuations - It is trading at 3.6x/3.1x FY23e/FY24e ABV on FY24e ROE/ROA 16%/2%. The bank is currently in high growth phase, growing loan book @40%+ rate. Bank sounded cautious on the growth outlook going forward given concerns on the global macro-economic environment. However, in our view, although growth slowdown but will continue to be at higher levels. If it is able to sustain margins at current levels given higher growth in CASA deposits, topline growth should be good. It has right mix of all ingredients like high growth, better margins, high-yielding assets profile and sound asset quality. One of the key triggers going forward could be operating leverage benefits that the bank might get in longer run (current cost/income ratio is high at 62.5%). We continue to retain our BUY rating on the stock with TP of INR 700, upside of 18% from the current levels, discounting its FY24e ABV by 3.7x.

- **Sturdy asset growth, however, future growth outlook cautious** - Gross advances grew at 44% yoy and 6% qoq to INR 524.5 bn. Incremental disbursements were higher at INR 86 bn across all the segments and it securitized assets worth INR 7.2 bn. However,

Financial Summary

Y/E Mar (Rs Bn)	FY21	FY22	FY23E	FY24E
NII	23.7	32.3	42.5	57.3
PAT	11.7	11.3	14.3	19.5
Networth	62.8	75.1	111.8	130.3
Adj BVPS (Rs)	176.8	231.3	163.1	188.3
EPS (Rs)	37.5	35.9	21.5	29.3
P/E (x)	15.8	16.5	27.6	20.2
P/Adj BV (x)	3.4	2.6	3.6	3.1

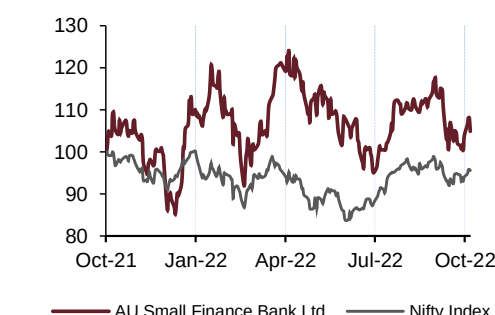
Source: Dalal & Broacha Research, Company

Rating	TP (Rs)	Up/Dn (%)
BUY	700	18

Market data

Current price	Rs	593
Market Cap (Rs.Bn)	(Rs Bn)	404
Market Cap (US\$ Mn)	(US\$ Mn)	4,871
Face Value	Rs	10
52 Weeks High/Low	Rs	733 / 462
Average Daily Volume	('000)	1,977
BSE Code		540611
Bloomberg		AUBANK.IN
Source: Bloomberg		

One Year Performance



Source: Bloomberg

% Shareholding	Sep-22	Jun-22
Promoters	26.8	28.2
Public	73.3	71.8
Total	100	100

Source: Bloomberg

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the management sounded cautious on the growth outlook going forward given global macro-economic concerns. It expects to grow its book conservatively over the next 2 quarters Overall, for the full year, we expect credit to grow by 40% yoy in FY23e vs. current run rate of 44% growth rate seen in H1FY23. NII growth was also strong at 43.8% yoy in Q2 to INR 10.8 bn.

- **Liability franchise growing stronger** – Total deposits grew at very healthy pace of 46% yoy to INR 526 bn. Of this, growth is coming strong in CASA deposits which have nearly doubled in last one year time and share of CASA deposits in total deposits improved from 30% to 42% for the same period. Customer acquisition is happening at very fast pace; it added 3.4 lac customers during Q2 taking total count to 3.3 mn
- **Opex cost continues to remain at higher level given it is in investment phase** – during the quarter, the bank added 27 new touchpoints which included 15 liability branches (of this 13 were in metro cities with more focus on the southern cities like Bengaluru, Chennai and Hyderabad. Digital engagement with the customers has been enhanced with investments in digital distribution channels, technology, people which can drive automation and operational efficiency in the longer run. Opex cost increased by 50.6% yoy in Q2; while cost/income ratio stood at 62.5% (vs. 65.3% qoq). Management conceded the fact the operating leverage benefits will not come in near term given it is in the investment phase currently
- **Margins were sustained** – Margins were maintained at 6% levels given stable yields (13.3%) and funding cost (5.8%). Overall blended spreads were maintained at 7.5% levels. Incremental yields from 12.7% to 13.1% qoq while cost of funds surged from 5.7% to 6.1% for the same period.
- **Incremental slippages for the quarter were at INR 2.6 bn vs. INR 2.5 bn in Q1 last quarter.** In % terms, GNPL came down from 2.3% to 2.2% qoq while the PCR stood at 71% levels.
- **Recently, the board of the bank approved re-appointment of MD&CEO of Mr.Sanjay Agarwal for the period of 3 years effective 19 Apr'23 – RBI approval is pending on the same**
- In Aug 2022, the bank raised capital amounting to INR 20 bn of equity capital via QIP and INR 5 bn of Tier II capital. Post this, Tier I capital stands at 22.6% and total CRAR being at 24.7%

Valuations

Valuations – It is trading at 3.6x/3.1x FY23e/FY24e ABV on FY24e ROE/ROA 16%/2%. The bank is currently in high growth phase, growing loan book @40%+ rate. Bank sounded cautious on the growth outlook going forward given concerns on the global macro-economic environment. However, in our view, although growth slowdown but will continue to be at higher levels. If it is able to sustain margins at current levels given higher growth in CASA deposits, topline growth should be good. It has right mix of all ingredients like high growth, better margins, high-yielding assets profile and sound asset quality. One of the key triggers going forward could be operating leverage benefits that the bank might get in longer run (current cost/income ratio is high at 62.5%). We continue to retain our BUY rating on the stock with TP of INR 700, upside of 18% from the current levels, discounting its FY24e ABV by 3.7x.

Quarterly Financials

(in Mn)	Q2FY23	Q2FY22	yoy (%)	Q1FY23	qoq (%)	H1FY23	H1FY22	yoy (%)
Interest earned	19922.9	14047.5	41.8	18202.0	9.5	38125.3	27582.5	38.2
-Interest/discount on advances/bills	16488.6	11427.7	44.3	14980.9	10.1	31469.5	22781.8	38.1
-Income on investments	2958.5	1837.4	61.0	2545.6	16.2	5504.1	3562.2	54.5
-Interest on bal. with RBI	103.3	242.9	-57.5	271.7	-62.0	375.5	389.7	-3.6
-Others	372.4	539.5	-31.0	403.8	-7.8	776.2	848.8	-8.6
Interest expenses	9089.4	6516.2	39.5	8442.0	7.7	15730.1	10095.4	55.8
Net Interest Income (NII)	10833.4	7531.3	43.8	9760.0	11.0	22395.2	17487.1	28.1
Other Income	2473.6	1919.2	28.9	1591.5	55.4	4065.1	4066.8	0.0
Total income	13307.0	9450.5	40.8	11351.5	17.2	26460.3	21553.9	22.8
Operating expenses	8319.2	5525.8	50.6	7410.8	12.3	15730.1	10095.4	55.8
-Employee cost	4513.0	3267.6	38.1	3940.2	14.5	8453.2	6093.8	38.7
-Other operating expenses	3806.2	2258.2	68.5	3470.6	9.7	7276.9	4001.6	81.8
Operating profit	4987.8	3924.7	27.1	3940.7	26.6	10730.3	11458.5	-6.4
Provision for contingencies	429.6	46.3	828.3	383.7	12.0	813.2	2117.8	-61.6
PBT	4558.2	3878.4	17.5	3557.0	28.1	9917.0	9340.7	6.2
Provision for taxes	1132.3	1093.3	3.6	878.3	28.9	0.0	0.0	-
Net profit	3426.0	2785.1	23.0	2678.7	27.9	9917.0	9340.7	6.2
Equity	6656.7	3131.1	112.6	6301.9	5.6	6656.7	3131.1	112.6
EPS	5.15	8.90	-42.1	4.25	21.1	14.90	29.83	-50.1
Ratios (%)								
Int. exp/Int earned (%)	45.6	46.4	-	46.4	-	41.3	36.6	-
Cost/Income ratio (%)	62.5	58.5	-	65.3	-	59.4	46.8	-
Gross NPAs (Rs)	9967.0	11514.5	-13.4	9696.2	2.8	9967.0	11514.5	-13.4
Net NPAs (Rs)	2882.2	5914.8	-51.3	2748.3	4.9	2882.2	5914.8	-51.3
Gross NPAs (%)	1.90	3.16	-	1.96	-	1.9	3.2	-
Net NPAs (%)	0.56	1.7	-	0.6	-	0.6	1.7	-
PCR (%)	71.1	48.6		71.7				
ROA (%)	0.5	0.5	-	0.4	-	1.5	1.5	-
CAR (%)	23.4	22.0	-	19.4	-	23.4	22.0	-
Balance Sheet (Rs.mn)								
Sources of Funds								
Capital	6,657	3,131	112.6	6,302	5.6	6,657	3,131	112.6
Reserves and Surplus	94,103	63,917	47.2	70,893	32.7	94,103	63,917	47.2
Deposits	5,83,354	3,90,340	49.4	5,46,310	6.8	5,83,354	3,90,340	49.4
-CA Deposits	28670	16000	79.2	22110	29.7	28670	16000	79.2
-SA Deposits	330730	261230	26.6	321910	2.7	330730	261230	26.6
Advances	5,17,431	3,58,451	44.4	4,86,540	6.3	5,17,431	3,58,451	44.4

Source: Dalal & Broacha Research, Company

Financial

P&L (Rs bn)	FY20	FY21	FY22	FY23e	FY24e	FY25e	Ratios	FY20	FY21	FY22	Y23e	Y24e	Y25e
Interest income	42.9	49.5	59.2	79.2	105.4	135.7	Growth (%)						
Interest expense	23.8	25.8	26.9	36.6	48.1	62.2	NII	42	24	37	32	35	28
NII	19.1	23.7	32.3	42.5	57.3	73.4	PPOP	66	78	-15	20	38	26
Non-interest income	7.1	14.2	9.9	11.9	15.3	17.6	PAT	77	73	-3	26	37	24
Net revenues	26.2	37.9	42.3	54.4	72.6	91.1	Advances	18	28	33	40	32	25
Operating expenses	14.2	16.6	24.1	32.6	42.3	52.9	Deposits	35	38	46	37	32	27
PPOP	12.0	21.3	18.2	21.8	30.2	38.1	Spread (%)						
Provisions	2.8	6.7	3.6	2.8	4.2	5.9	Yield on Funds	11.8	10.9	10.1	10.0	10.3	10.5
PBT	9.1	14.6	14.5	19.1	26.0	32.3	Cost of Funds	7.4	6.5	5.3	5.4	5.4	5.6
Tax	2.4	2.9	3.2	4.8	6.6	8.1	Spread	4.4	4.3	4.8	4.7	4.8	5.0
PAT	6.7	11.7	11.3	14.3	19.5	24.1	NIM	5.2	5.2	5.5	5.4	5.6	5.7
							Asset quality (%)						
Balance sheet	FY20	FY21	FY22	FY23e	FY24e	FY25e	Gross NPAs	1.7	4.3	2.0	1.8	1.9	2.0
Share capital	3	3	3	7	7	7	Net NPAs	0.8	2.2	0.5	0.5	0.6	0.7
Reserves & surplus	41	60	72	105	124	147	Provisions	53	50	75	70	68	64
Net worth	44	63	75	112	130	153							
Deposits	262	360	526	722	951	1204	Return ratios (%)						
Borrowings	103	70	60	51	42	45	RoE	17.9	22.0	16.4	15.3	16.1	17.0
Other liability	13	23	30	37	45	54	RoA	1.8	2.5	1.9	1.8	1.9	1.8
Total liabilities	421	516	691	922	1168	1457	Per share (Rs)						
							EPS	22	37	36	21	29	36
Fixed assets	4	5	6	7	8	8	BV	144	201	239	168	196	231
Investments	107	108	153	199	247	301	ABV	137	177	231	163	188	219
Loans	270	346	461	645	852	1065	Valuation (x)						
Cash	34	48	59	58	47	68	P/E	26.7	15.8	16.5	27.6	20.2	16.3
Other assets	7	9	11	13	15	15	P/BV	4.1	3.0	2.5	3.5	3.0	2.6
Total assets	421	516	691	922	1168	1457	P/ABV	4.3	3.4	2.6	3.6	3.1	2.7

Source: Dalal & Broacha Research, Company

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